3.3 Game Theory and Oligopoly

Video: Game Theory and Oligopoly (Crash Course Economics)

Four Market Structures

Market Structure	Key Features	Example
	Thousands of producers, identical products, easy to enter, no control over price	Strawberries
	One large company, very few substitutes, high barriers, lots of control over price	A single seller
	Many producers, similar but not identical products, relatively low barriers	Furniture stores, fast food
	A few large companies, _____ to entry	Laptops, mobile phones, cars, air travel

Non-Price Competition

Oligopolies often compete without changing the price. This is called _____: competing on style, quality, location, or service.

The most recognizable form of non-price competition is _____. Monopolies don't bother advertising, and perfectly competitive firms sell identical products.

Game Theory

In an oligopoly, each company makes decisions with its competitors' actions in mind. They use _____, the study of _____.

In the _____, two people questioned separately both confess and both end up worse off. Even when people follow their own self-interest, the best outcome is hard to reach when they can't or don't _____.

Two boardwalk sellers keep moving toward each other and end up in the middle, sharing customers equally. If one cuts prices, the other will too. This explains why prices in oligopolies tend to get _____.

Cartels, Collusion, and Price Leadership

When competitors agree to charge the same high price, they form a _____. This is called _____, and antitrust laws make it illegal in the U.S.

_____ is when one company changes its prices and competitors decide whether to follow. It is technically legal (example: airline baggage fees).

OPEC is an international cartel of oil-producing countries that manipulate oil supplies to control prices.

The Payoff Matrix

A _____ shows the profit each company earns in different situations.

Both companies would earn the most together by pricing high, but each has an _____. That is why collusion and cartels are often _____.

A _____ always gives the best available outcome, no matter what the other company does. In the example, pricing low is the dominant strategy for both.

Think About It

Pick two competing brands you buy from (phones, fast food, game consoles). How do they use non-price competition to win you over? _____